COMMISSION SCHEME 2015

FOR SALES EXECUTIVES

ON COLLECTED SALES & GROSS PROFIT

COMMISSION SCHEME 2015

A commission structure usually applies when you are offering someone a piece of the action. For example: X % of the gross revenue or an amount for selling X amount of product(s) or collecting that X amount sold from the market. Our commission scheme, is based on performance which is not limited to meeting fixed monthly and/or annual targets.

When putting the commission scheme / structure together we looked into our past sales history, volume, peaks, highs and lows and developed the following criteria. In 2015, the sales commission will be based on two most important key performance indicator's (KPI) and these are Collected Sales (Collection) & Gross Profit.

COMMISSION CYCLE

In 2015, the commission will be implemented on a monthly as well as half-yearly basis, explained below:

Commission on the Collected Sales (i.e Collections): Monthly Basis - Page 2 to 5
Commission on the Gross Profit: Half-Yearly Basis (6 Months) - Page 6 to 9

COMMISSION FORMULA

On Collected Sales (i.e Collections):
[Commission on Collected Sales] = Collected Sales x Commission%

On Gross Profit:
[Commission on Gross Profit] = (Gross Profit - Threshold) x Commission%

EXPLAINING THE FORMULA ON COLLECTED SALES

On Collected Sales (i.e Collections):
[Commission on Collected Sales] = Collected Sales x Commission%

Collected Sales:

Sales in the form of cash or credit when collected from the market is known as collected sales. Accumulated collected sales until the end of the commission cycle will be considered for the sales commission calculation. In this case, it will be considered on a monthly basis.

In 2015, The total sum of collected sales will be reserved for the commission calculation. This activity is performed each month to see the efficiency of the sales executive in collections. The Collected sales of each Sales Executive will be evaluated against benchmark percentage alloted to the days in range as shown in the table below.

0 - 30	30 - 60	60 - 90	90 - 120	120 - 150	150 - 180	180 - 210	210 - 240	240 - 360	OVER 360
100%	100%	100%	100%	90%	70%	0%	0%	0%	0%

The concept is very simple, the collected sales from 0 to 120 days will be 100% reserved for the sales commision calculation, however from 120 - 150 days only 90% of the collected sales will be reserved, then for 150 - 180 days 70% and beyond 180 days 0% reserved for the sales commission.

EXPLAINING THE FORMULA ON COLLECTED SALES

On Collected Sales (i.e Collections):
[Commission on Collected Sales] = Collected Sales x Commission%

Commission%:

The commission Percentage is Fixed, its (0.4%) for all divisions, for all branches main or remote.

For Example:

Collected Sales				Commission
100,000	x	0.40%	=	400
200,000	x	0.40%	=	800
300,000	x	0.40%	=	1,200
400,000	x	0.40%	=	1,600
500,000	x	0.40%	=	2,000
600,000	x	0.40%	=	2,400
700,000	x	0.40%	=	2,800
800,000	x	0.40%	=	3,200
900,000	x	0.40%	=	3,600
1,000,000	x	0.40%	=	4,000
1,500,000	x	0.40%	=	6,000
2,000,000	x	0.40%	=	8,000

EXPLAINING THE FORMULA ON COLLECTED SALES

Note 1 //

The Collected Sales has to be recorded into the ERP system against invoice. If the collected sales is not recorded against the invoice that amount of collected sales will not be eligble for the commission. The 3 points mentioned below are for strict compliance!

1. Sales Executive should collect the invoice details from the customer for the respective payment received.
2. Sales Executive should provide the accounts department with invoice details or payment breakdown in the form of invoice numbers.
3. Accountants are advised to re-check and verify the invoice details at the time of receiving the collections from the sales executives and post it accordingly.

On Dec 31st 2014 a memo with Ref# 311214/SQB/UD/14 thru Email was sent to all the UNITECH A employees, addressing this issue of recording collection in the ERP System against Invoice, this activity is already in effect since Jan 01, 2015.

Note 2 //

The Commission on the collected sales will be calculated on a monthly basis and the Sales Executives can take the sales commission on the collected sales each month. This scheme is only for the Sales Executives (excluding managers and supervisors).

Note 3 //

There shall be no amount over 150 days in the Sales Executives Receivables, regardless the Sales commission will be calculated but he shall not collect his sales commission on the collected sales until he clears his receivables over 150 days.

Note 4 //

As this commission is calculated on a monthly basis, the commission will be announced 10 days (or less) after the closing of the month, for which the commission is calculated for.

Note 5 //

The Commission on the collected sales is just a part of the Commission Scheme 2015, the other part of the Commission scheme is based on Gross Profit...which is explained in the following pages...

EXPLAINING THE FORMULA ON GROSS PROFIT

On Gross Profit:

[Commission on Gross Profit] = (Gross Profit - Threshold) x Commission%

Gross Profit:

In 2015, the Gross Profit considered for the calculation of the commission will be derived from the sales cycle relevant to the commission cycle as shown in the explanation below:

The GP% Considered		To Calculate the Commission in
1st Sales Cycle (GP%) Jan 2015 - Jun 2015	→	1st Commission Cycle Jan 2015 - Jun 2015
2nd Sales Cycle (GP%) Jul 2015 - Dec 2015	→	2nd Commission Cycle Jul 2015 - Dec 2015

EXPLAINING THE FORMULA ON GROSS PROFIT

On Gross Profit:
[Commission on Gross Profit] = (Gross Profit - Threshold) x Commission%

Threshold:

The minimum amount of gross profit (that has been set according to the divisions capabilities of selling) achieved by a sales executive in his individual sales to qualify for a commission program is called a threshold. The threshold also depends upon the area of the sales operations.

Threshold set for the year 2015

UNIMETAL / yearly basis:
Main: 180,000
Remote: 160,000

UNIPRO Contractors / yearly basis:
Main: 180,000
Remote: 160,000

UNIPRO Traders / yearly basis:
Main: 140,000
Remote: 140,000

BETA CONTECH / yearly basis:
Main: 200,000
Remote: 180,000

UPF / yearly basis:
Main: 120,000
Remote: 120,000

Showroom / yearly basis:
Main: 250,000
Remote: 200,000

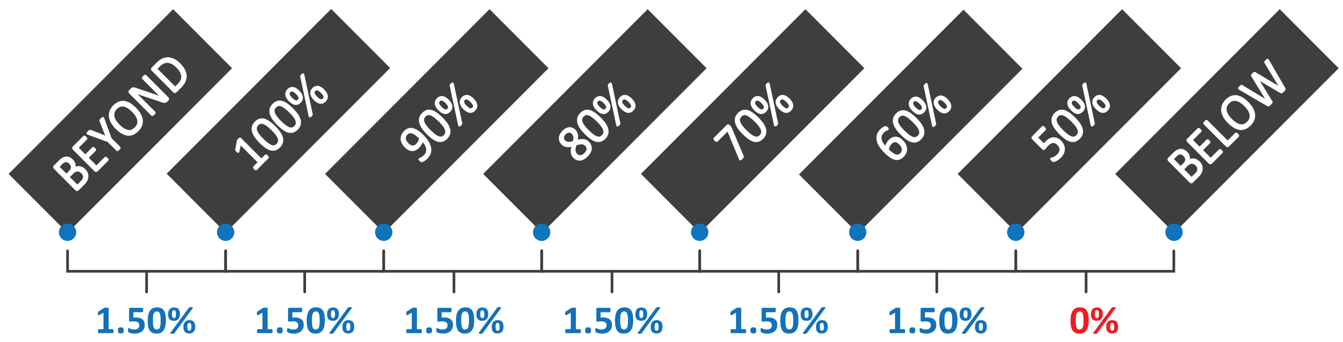
EXPLAINING THE FORMULA ON GROSS PROFIT

On Gross Profit:
[Commission on Gross Profit] = (Gross Profit - Threshold) x Commission%

Commission%:

The Commission for the calculation on Gross Profit is based on achieving the Budgeted Gross Profit 2015, The Budgeted Gross Profit is based on the budgets provide by branches which are agreed with each Sales Executives and approved by the Branch Managers and Assistant General Manager.

Please find the Commission % Scale as follows:



For the Sales Executive to qualify for the commission scheme on the Gross Profit, the Sales Executive has to achieve atleast 50% of his Budgeted Gross, achievement below 50% is not qualified for commission...

EXPLAINING THE FORMULA ON GROSS PROFIT

On Gross Profit:
[Commission on Gross Profit] = (Gross Profit - Threshold) x Commission%

Example

BUDGETED GROSS PROFIT	ACTUAL GROSS PROFIT	BUD. VS ACT. % GROSS PROFIT	THRESHOLD BY DIVISION	COMMISSION CALCULATION
1,500,000	2,250,000	133%	180,000	=(2,250,000 - 180,000)*1.5% = SR.31,050
1,500,000	1,500,000	100%	180,000	=(1,500,000 - 180,000)*1.5% = SR. 19,800
1,500,000	1,050,000	70%	180,000	=(1,050,000 - 180,000)*1.5% = SR. 13,050
1,500,000	650,000	43.33%	180,000	=(650,000 - 180,000)*0% = SR. 0

The Example provided above is for UNIMETAL / UNIPRO Sales Executive in the Main Areas...

The formula is (Gross Profit - Threshold) x Commission%, however the qualification factor is determined by the "Budget VS. Actual %" Indicator... As discussed on the previous page, the Sales Executive has to achieve atleast 50% of his Budgeted Gross, achievement below 50% is not qualified for commission...

EXPLAINING THE FORMULA ON GROSS PROFIT

Note 1 //
Effective 1st January 2015, There will be “NO” commission paid on or the sales of local items under “UPF DIVISION”... This means that there will be no calculation of commission on Gross Profit for the sales of local items in UPF... A memo related to this subject was announced on 22 February 2015 with Ref. No.: 220215/SQB/UD/15 to all the UPF personnel...

The same is applicable to “BETA CONTECH DIVISION”... There will be “NO” commission paid on the sales of local items.

Note 2 //
If Sales Executives under UNIPRO TRADERS DIVISION are selling to contractors, the percentage of their sales will be taken into the consideration to determine the theshold to be applied. If the percentage of sales to the contractors is less than 20% then the threshold will remain the same, If it is more than 20% then the threshold of UNIPRO CONTRACTOR DIVISION will be applied.

Note 3 //
The Commission on the Gross Profit will be calculated on a Half-Yearly basis. This scheme is only for the Sales Executives (excluding managers and supervisors).

Note 4 //
As this commission is calculated on a Half-Yearly basis, the commission will be announced 10 days (or less) after the closing of the last month of the sales cycle, for which the commission is calculated for.